

(such as Jack with sports), the reality is that we may be overconfident in our own ability to predict future events. What cognitive biases are causing us to be overconfident? One answer may lie in our human desire to pursue and misuse useless information. Our brains immediately interpret more information as better information, which leads to more confidence, with no corresponding increase in forecast accuracy.

There is a compelling study by Bastardi and Shafir illustrating this effect that is appropriately titled, “On the pursuit and misuse of useless information.”⁹ The paper is filled with experiments that show our brain's inability to properly process information in a variety of circumstances. The abstract of the paper says it best:

“Decision makers often pursue noninstrumental information—information that appears relevant but, if simply available, would have no impact on choice. Once they pursue such information, people then use it to make their decision. Consequently, the pursuit of information that would have had no impact on choice leads people to make choices they would not otherwise have made.”

Below is an example experiment from Bastardi and Shafir's research. The authors ask different groups to make a decision on a mortgage application. One group is faced with the following information set:

Group 1: Imagine that you are a loan officer at a bank reviewing the mortgage application of a recent college graduate with a stable, well-paying job and a solid credit history. The applicant seems qualified, but during the routine credit check you discover that for the last three months the applicant has not paid a \$5,000 debt to his charge card account.

- **Do you approve or reject the mortgage application?**

Group 1 approves only 29 percent of the applications and rejects 71 percent.

The authors play a trick on the second group by leading them to believe they have more information. The hypothesis is that the subjects will interpret their supposed “special information” as information that can lead to a more accurate decision.